

STUDYHUB
CLASS 12 - MP BOARD
BUSINESS STUDIES — SET 2

English Medium | Set 2

Time: 3 Hours Maximum Marks: 80
Set: 2

Note: This is an original StudyHub practice paper based on the MPBSE syllabus and examination pattern. It is not an official MPBSE paper.

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. Write answers in clear and precise language.
8. Draw suitable diagrams or flowcharts wherever required.

SECTION - A
OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct option. 1×6=6

(i) Which level of management is mainly responsible for implementing the plans made by top management?

- A. Top level
- B. Middle level
- C. Operational level
- D. Board of Directors

(ii) The principle of management which states that employees should be treated fairly is:

- A. Equity
- B. Discipline
- C. Order
- D. Initiative

(iii) Which of the following is an external source of recruitment?

- A. Transfer
- B. Promotion
- C. Employee referrals
- D. Campus recruitment

(iv) Which financial decision determines the amount of funds to be invested in different assets?

- A. Financing decision
- B. Investment decision
- C. Dividend decision
- D. Credit decision

- (v) Which of the following is a paid form of non-personal presentation and promotion?
- Personal selling
 - Advertising
 - Public relations
 - Sales promotion
- (vi) Which consumer right ensures that a consumer can obtain complete information about a product?
- Right to Safety
 - Right to be Heard
 - Right to Information
 - Right to Choose

Q.2 Fill in the blanks. 1×6=6

- (i) The process of influencing people to work willingly towards organisational goals is called ____.
- (ii) The process of comparing actual performance with planned performance is known as ____.
- (iii) The process of introducing a new employee to the organisation is called ____.
- (iv) The decision regarding distribution of profits between dividend and retained earnings is called ____ decision.
- (v) A name, term, sign or symbol used to identify a product is called a ____.
- (vi) The market where new securities are issued for the first time is called the ____ market.

Q.3 Write True or False. 1×6=6

- (i) Coordination is required only at the top level of management.
- (ii) Organising establishes relationships among jobs and people.
- (iii) Internal recruitment is generally less expensive than external recruitment.
- (iv) A higher financial risk always guarantees higher profit.
- (v) Sales promotion is generally used to encourage immediate purchase.
- (vi) Consumer awareness can help protect consumers from exploitation.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) Organising	(a) Motivation
(ii) Directing	(b) Grouping of activities
(iii) Controlling	(c) Corrective action
(iv) Selection	(d) Choosing the best candidate
(v) Dividend Decision	(e) Distribution of profit
(vi) Public Relations	(f) Building a favourable image
(vii) Consumer Forum	(g) Consumer dispute redressal

Q.5 Answer in one word/one sentence. 1×7=7

- (i) What is authority?
- (ii) What is responsibility?
- (iii) What is meant by motivation?

- (iv) What is performance appraisal?
- (v) What is retained earnings?
- (vi) What is sales promotion?
- (vii) What is consumer awareness?

SECTION - B
SHORT ANSWER QUESTIONS
2 Marks Each

Q.6

State any two features of coordination.

OR

Why is coordination called the essence of management?

Q.7

What is meant by division of work? State one benefit of division of work.

OR

Explain the principle of Esprit de Corps.

Q.8

What is organising? State any one importance of organising.

OR

State any two steps involved in the organising process.

Q.9

What is directing? Name any two elements of directing.

OR

What is supervision? State one function of a supervisor.

Q.10

What is motivation? State any one financial incentive.

OR

Differentiate between financial and non-financial incentives.

Q.11

What is leadership? State any one quality of a good leader.

OR

What is meant by democratic leadership?

Q.12

What is controlling? State any one importance of controlling.

OR

State any two steps in the controlling process.

Q.13

What is meant by capital budgeting?

OR

State any two factors affecting the financing decision.

Q.14

What is meant by branding? State one advantage of branding.

OR

What is packaging? State one function of packaging.

Q.15

What is meant by consumer protection? State any one importance of consumer protection.

OR

Name any two methods through which consumers can seek redressal of their grievances.

SECTION - C

SHORT ANSWER QUESTIONS

3 Marks Each

Q.16

Explain any three characteristics of a good organisational structure.

OR

Explain any three points of difference between formal and informal organisation.

Q.17

Explain any three sources of external recruitment.

OR

Explain any three benefits of employee training to an organisation.

Q.18

Explain any three barriers to effective communication.

OR

Explain any three principles of effective communication.

Q.19

Explain any three factors affecting the dividend decision.

OR

Explain any three factors affecting the investment decision.

SECTION - D

LONG ANSWER QUESTIONS

4 Marks Each

Q.20

Explain the following steps of the controlling process:

1. Setting performance standards
2. Measurement of actual performance
3. Comparison of actual performance with standards
4. Taking corrective action

OR

Explain any four importance of controlling.

Q.21

Explain any four methods of training:

1. Apprenticeship training
2. Internship training
3. Vestibule training
4. Induction training

OR

Explain any four steps involved in the selection process.

Q.22

Explain any four factors affecting the working capital requirement of a business.

OR

Explain any four factors affecting the capital structure of a company.

Q.23

Explain the following methods of sales promotion:

1. Discounts
2. Rebates
3. Product combination
4. Lucky draw/contests

OR

Explain any four functions of a consumer organisation/NGO.

MARKS VERIFICATION

Questions	Marks
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6-Q.15	20
Q.16-Q.19	12
Q.20-Q.23	16
TOTAL	80

✓ TOTAL = 80 MARKS

SHORT ANSWER KEY

Q.1: B, A, D, B, B, C

Q.2: Directing; controlling; induction; dividend; brand; primary

Q.3: False, True, True, False, True, True

Q.4: (i)-(b) (ii)-(a) (iii)-(c) (iv)-(d) (v)-(e) (vi)-(f) (vii)-(g)

- Q.5: (i) Right to give orders
(ii) Obligation to perform assigned work
(iii) Process of stimulating people to act
(iv) Evaluation of employee performance
(v) Profit retained in the business
(vi) Short-term incentives to increase sales
(vii) Knowledge and understanding of consumer rights and responsibilities.